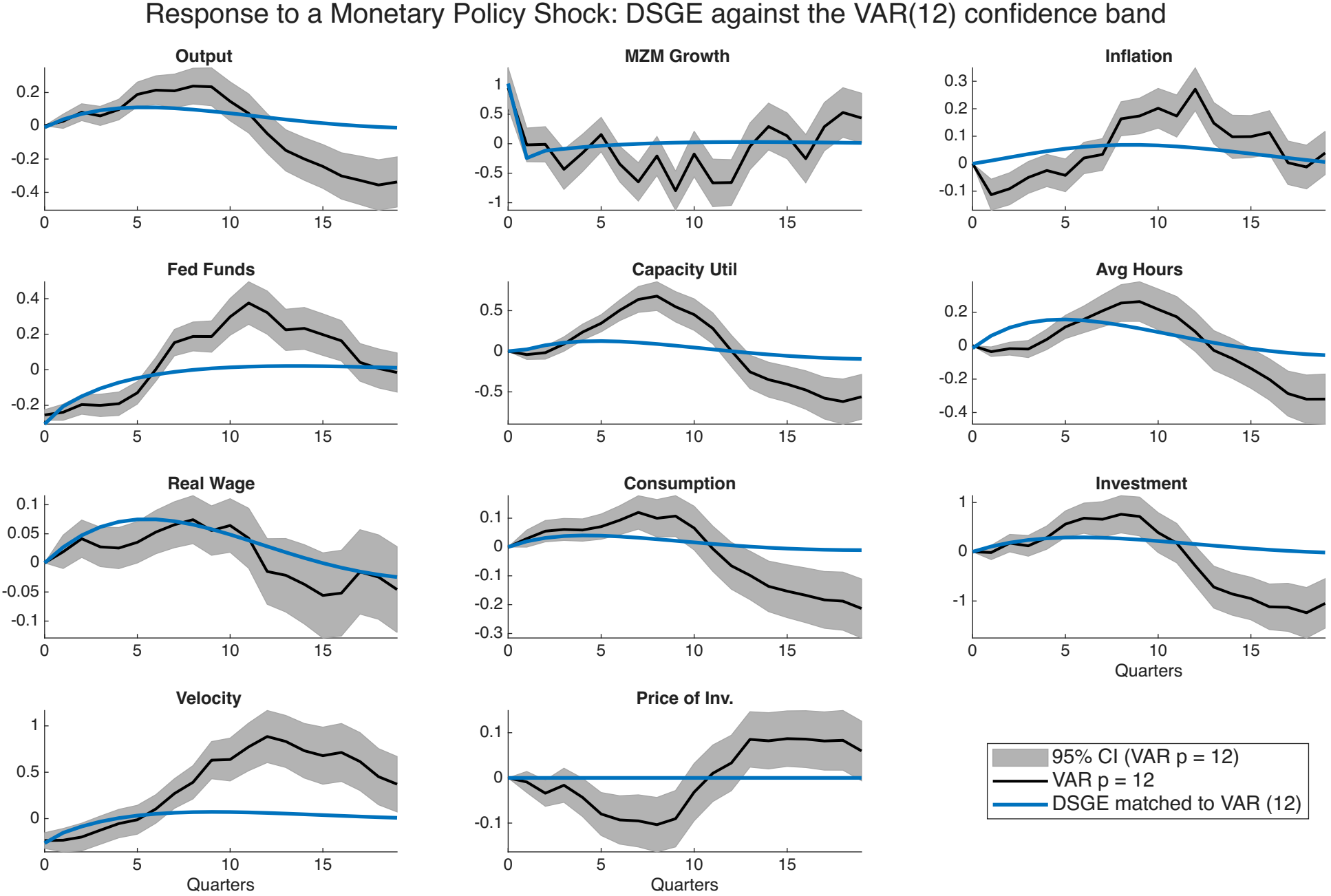
Response to a Monetary Policy Shock: DSGE against the VAR(12) confidence band
Output
MZM Growth
Inflation
Fed Funds
Capacity Util
Avg Hours
Real Wage
Consumption
Investment
Velocity
Price of Inv.
Quarters
95% CI (VAR p = 12)
VAR p = 12
DSGE matched to VAR (12)